

STRATEGIC ADVICE: Day 4

Keywords:

Advanced Value Creation in Multi-Party Negotiations / Third-party Representation

DON'T FORGET TO LOOK FOR OPPORTUNITIES TO CREATE VALUE IN MULTI-PARTY NEGOTIATIONS.

Remember the advice from moms.com: **Typically you claim well if you create well.**

Therefore:

- Search for differences in relative expectations or beliefs of the future, valuation, capabilities, risk preferences, time preference, tax consequences, discount factors, etc.
- Take a conditionally cooperative approach (i.e., Tit for Tat). Remember that tactics for creating value, such as revealing information and clearly communicating interests, can leave you vulnerable to claiming behavior.
- Watch your answers. You can hurt yourself with your own exaggerations.
- Provide information, but do so selectively. Don't give away information unilaterally. You should not be afraid of providing information, you should be afraid of doing so when the other side doesn't.
- Ask lots of questions about interests and priorities; listen carefully to answers. But don't rely exclusively on questions and answers or announcements.
- Avoid sequential bargaining and single-issue offers. Don't isolate issues; splitting differences destroys value.
- Think creatively about putting new issues on the table; add side issues that benefit both parties.
- Offer multiple whole packages that are of equal value to you and offer them simultaneously; use MWPs to probe your assumptions about the other side and rely on "revealed preference" to find trades.
- Use the current agreement as a new BATNA; try for a post-settlement settlement.

Multi-Party Negotiations

- Even in complicated Multi-Party Negotiations, you still typically claim well if you create well.
- Consider side-payments to facilitate value creation.
- Consider a neutral agent to help identify opportunities for trade-offs among parties.
- Be mindful of hasty settlements: Don't finalize (partial) agreements before knowing or attempting to find out the needs/preferences of all parties involved.

Third-party Representation

- Neutral agents can help identify opportunities for trade-offs among parties.
- Take into consideration what the agent is likely to know that you don't know and what you know that they are unlikely to know.
- As agent, prepare instructions for the principals: What is your role? What are the benefits? And what do you need to know for those benefits to be realized?

Internal/External Negotiations

- Don't let the complexity of the internal conflict keep you from finding joint gains.
- Realize that the internal dynamics you faced prior to coming to the table will affect the other side's behavior at the table.
- Again: Consider a neutral agent to help identify opportunities for trade-offs among parties.